

Chapter Two

Accounting Cycle for Service-giving Businesses

LEARNING OBJECTIVES

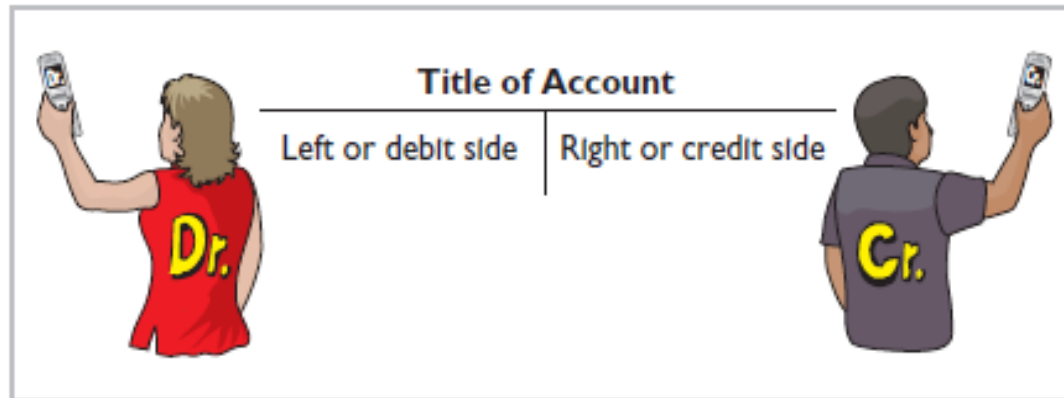
After studying this chapter, you should be able to:

1. Explain what an account is and how it helps in the recording process.
2. Define debits and credits and explain their use in recording business transactions.
3. Identify the basic steps in the recording process.
4. Explain what a journal, a ledger & posting is/are and how they help in the recording process.
5. Prepare a trial balance and explain its purposes.
6. Explain the time period assumption.
7. Explain the accrual basis of accounting.

8. Explain the reasons for adjusting entries.
9. Identify the major types of adjusting entries.
10. Prepare adjusting entries for deferrals & accruals.
11. Describe the nature and purpose of an adjusted trial balance.
12. Prepare a worksheet.
13. Explain the process of closing the books.
14. Describe the content & purpose of a Post-Closing TB.
15. State the required steps in the accounting cycle.
16. Explain the approaches to preparing correcting entries.
17. Identify the sections of a classified SoFP.

2.1. The Account

- ◆ An **account** is an individual record of increases and decreases in a specific **asset**, **liability**, **stockholders' equity**, **revenue**, or **expense** item.
- ◆ In its simplest form, an account consists of **three parts**: (1) a title, (2) a left or debit side, and (3) a right or credit side.
- ◆ Because the format of an account resembles the letter **T**, we refer to it as a **T-account**.
- ◆ **Illustration 2-1** shows the basic form of an account.



DEBIT AND CREDIT PROCEDURES

Double-entry system

- ◆ Each transaction must affect two or more accounts to keep the basic accounting equation in balance.
- ◆ Recording done by debiting at least one account and crediting at least one other account.
- ◆ **DEBITS must equal CREDITS.**

Cont'd

If the sum of Debit entries are **greater than** the sum of Credit entries, the account will have **a debit balance**.

	Account Name		
	Debit / Dr.	Credit / Cr.	
Transaction #1	\$10,000	\$3,000	Transaction #2
Transaction #3	8,000		
Balance	\$15,000		

Cont'd

If the sum of Credit entries are **greater than** the sum of Debit entries, the account will have **a credit balance**.

	Account Name		
	Debit / Dr.	Credit / Cr.	
Transaction #1	\$10,000	\$3,000	Transaction #2
		8,000	Transaction #3
Balance		\$1,000	

Assets

Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter
3-23

- ◆ **Assets** - Debits should exceed credits.
- ◆ **Liabilities** – Credits should exceed debits.
- ◆ **Normal balance** is on the increase side.

Liabilities

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-24

Cont'd

Equity

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-25

- ◆ Issuance of share capital and revenues increase equity (credit).
- ◆ Dividends and expenses decrease equity (debit).

Share Capital-Ordinary

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-25

Retained Earnings

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-25

Dividends

Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter
3-23

Revenues

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-26

- ◆ The purpose of earning **revenues** is to benefit the shareholders.
- ◆ The effect of debits and credits on revenue accounts is the **same** as their effect on equity.
- ◆ **Expenses** have the opposite effect: expenses decrease equity.

Expenses

Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter
3-27

Cont'd

**Normal
Balance
Debit**

**Normal
Balance
Credit**

Liabilities

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Assets

Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter
3-23

Equity

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-25

Expenses

Debit / Dr.	Credit / Cr.
	
Normal Balance	

Chapter
3-27

Revenues

Debit / Dr.	Credit / Cr.
	
	Normal Balance

Chapter
3-26

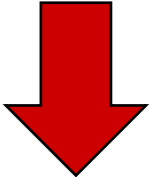
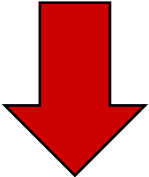
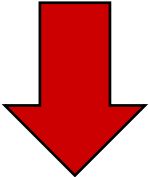
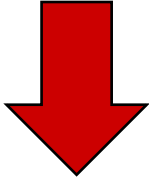
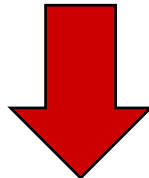
Summary of Debit/Credit Rules

Statement of Financial Position

Asset = Liability + Equity

Income Statement

Revenue - Expense

Debit					
Credit					

Question #1

Debits:

- a. increase both assets and liabilities.
- b. decrease both assets and liabilities.
- c. increase assets and decrease liabilities.
- d. decrease assets and increase liabilities.

Question #2

Accounts that normally have debit balances are:

- a. assets, expenses, and revenues.
- b. assets, expenses, and equity.
- c. assets, liabilities, and dividends.
- d. assets, dividends, and expenses.

Equity Relationships

Statement of Financial Position

Assets

Liabilities

Equity

Share capital—ordinary

Retained earnings

Investments by shareholders

Net income retained in the business

Income Statement

Revenues

Less: Expenses

Net income or net loss

Retained Earnings Statement

Beginning retained earnings

Add: Net income

Less: Dividends

Ending retained earnings

Illustration 2-11

Equity relationships

Summary of Debit/Credit Rules

Relationship among the **assets**, **liabilities**, and **equity** of a business:

Illustration 2-12

Summary of debit/credit rules

**Basic
Equation**

Assets = Liabilities +

Equity

**Expanded
Equation**

**Debit/Credit
Effects**

Assets		=	Liabilities		+	Equity							
Assets			Liabilities			Share Capital	Retained Earnings	Dividends	Revenues	Expenses			
Dr.	Cr.		Dr.	Cr.		Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
+	-		-	+		-	+	+	-	-	+	+	-

The equation must be in balance after every transaction.
Total **Debits** must equal total **Credits**.



DO IT!

Kate Browne, president of Hair It Is Company SA, has just rented space in a shopping mall in which she will open and operate a beauty salon. A friend has advised Kate to set up a double-entry set of accounting records in which to record all of her business transactions. Identify the SoFP accounts that Hair It Is Company will likely use to record the transactions needed to establish and open the business. Also, indicate whether the normal balance of each account is a debit or a credit.

Assets

Cash (debit)
Supplies (debit)
Equipment (debit)

Liabilities

Notes Payable (credit)
Accounts Payable (credit)

Equity

Share Capital—Ordinary
(credit)

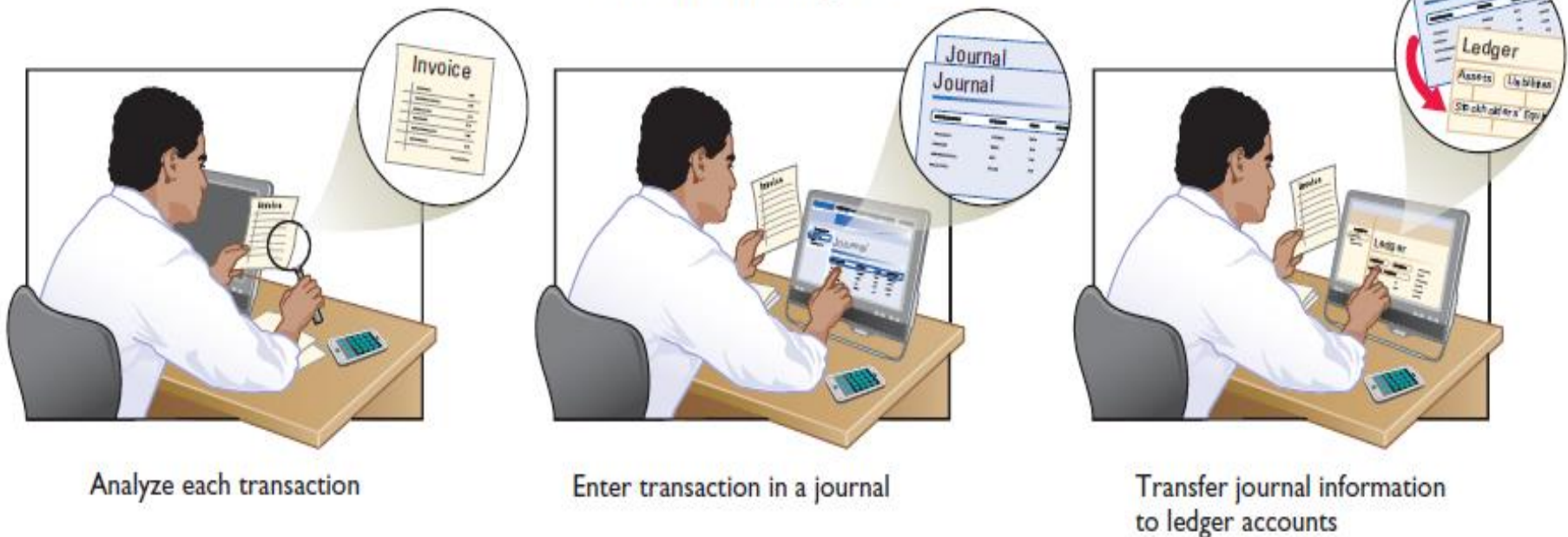
2.2.

Steps in the Recording Process

- ◆ Although it is possible to enter transaction information directly into the accounts without using a **journal**, few businesses do so.
- ◆ Practically every business uses **three** basic steps in the recording process:
 - 1) **Analyze** each transaction for its effects on the accounts.
 - 2) Enter the transaction information in **a journal**.
 - 3) Transfer the journal information to the appropriate accounts in the **ledger**.
- ◆ The recording process begins with the transaction.
- ◆ **Business documents**, such as a sales receipt, a check, or a bill, provide evidence of the transaction.

- ◆ The company analyzes this evidence to determine the transaction's effects on specific accounts. The company then enters the transaction in the journal.
- ◆ Finally, it transfers the journal entry to the designated accounts in the ledger.
- ◆ Illustration 2-13 shows the **recording process**.

The Recording Process



The Journal

- ◆ Book of original entry.
- ◆ Transactions recorded in chronological order.
- ◆ Companies may use various kinds of journals, but every company has the most basic form of journal, **a general journal.**
- ◆ Contributions to the recording process:
 1. Discloses the **complete effects of a transaction.**
 2. Provides a **chronological record** of transactions.
 3. Helps to **prevent or locate errors** because the debit and credit amounts can be easily compared.

JOURNALIZING - Entering transaction data in the journal.

Illustration: On September 1, shareholders invested €15,000 cash in the corporation in exchange for ordinary shares, and Softbyte purchased computer equipment for €7,000 cash.

Illustration 2-14

General Journal					J1
Date	Account Titles and Explanation		Ref.	Debit	Credit
2014					
Sept. 1	2 Cash		5	15,000	
1	3 Share Capital—Ordinary				15,000
	4 (Issued shares for cash)				
1	Equipment			7,000	
	Cash				7,000
	(Purchased equipment for cash)				

SIMPLE AND COMPOUND ENTRIES

Illustration: On July 1, Tsai Company purchases a delivery truck costing NT\$420,000. It pays NT\$240,000 cash now and agrees to pay the remaining NT\$180,000 on account.

Illustration 2-15 Compound Journal Entry

General Journal				J1
Date	Account Titles and Explanation	Ref.	Debit	Credit
2014 July 1	Equipment Cash Accounts Payable (Purchased truck for cash with balance on account)		420,000	240,000 180,000



DO IT!

As president and sole shareholder, Kate Browne engaged in the following activities in establishing her salon, Hair It Is Company.

1. Opened a bank account in the name of Hair It Is Company SA and deposited €20,000 of her own money in this account in exchange for ordinary shares.
2. Purchased equipment on account (to be paid in 30 days) for a total cost of €4,800.
3. Interviewed three applicants for the position of beautician.

Prepare the entries to record the transactions.

Solution

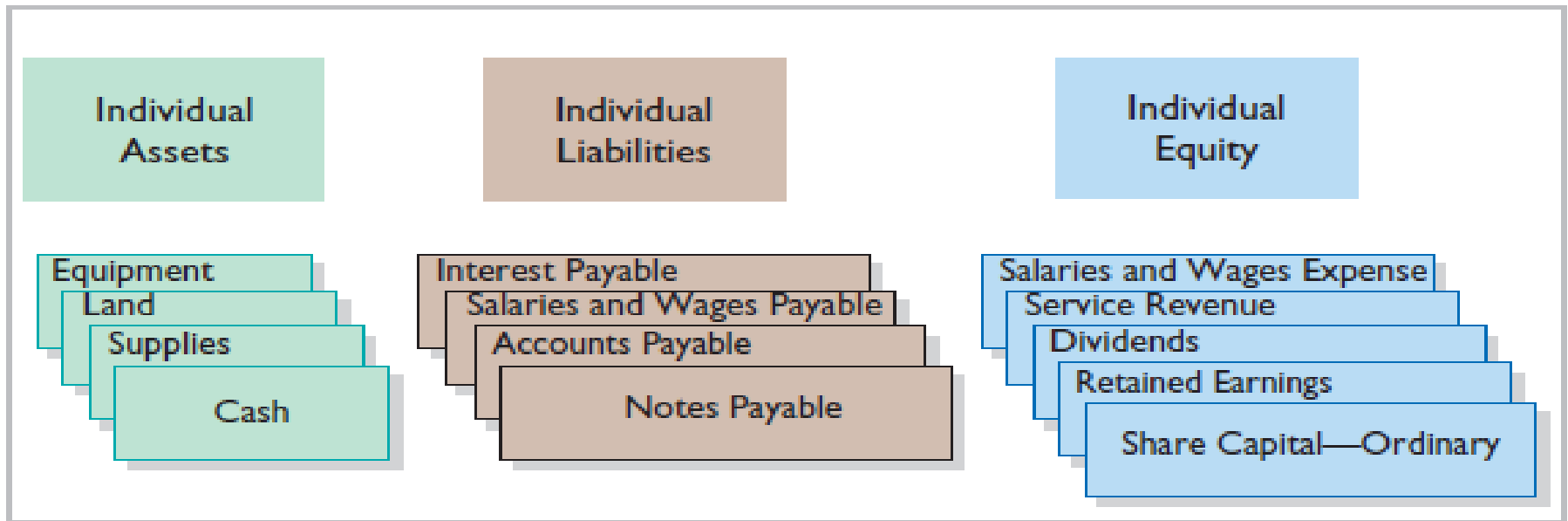
Each transaction that is recorded is entered in the general journal. The three activities would be recorded as follows.

- | | | |
|--|--------|--------|
| 1. Cash | 20,000 | |
| Share Capital—Ordinary | | 20,000 |
| (Issued shares for cash) | | |
| 2. Equipment | 4,800 | |
| Accounts Payable | | 4,800 |
| (Purchase of equipment on account) | | |
| 3. No entry because no transaction has occurred. | | |

The Ledger

- ◆ The entire group of accounts maintained by a company is the **ledger**.
- ◆ The **ledger** keeps in one place all the information about changes in specific account balances.
- ◆ Companies may use various kinds of ledgers, but every company has **a general ledger**. It contains all the asset, liability, and equity accounts.

Illustration 2-16 The General Ledger



The Standard form of Account

- ◆ The simple T-account form used in accounting textbooks is often very useful for **illustration purposes**.
- ◆ However, in practice, the account forms used in ledgers are **much more structured**.
- ◆ Illustration 2-17 shows a typical form, using assumed data from a cash account. This is called the **three-column form of account**.
- ◆ It has three money columns—debit, credit, and balance.
- ◆ The balance in the account is determined after each transaction.
- ◆ Companies use the **explanation space** and **reference columns** to provide special information about the transaction

Illustration 2-17 Three-Column Form of Account

Cash					No. 101
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
June 1			25,000		25,000
2				8,000	17,000
3			4,200		21,200
9			7,500		28,700
17				11,700	17,000
20				250	16,750
30				7,300	9,450

Posting

- ◆ Transferring journal entries to the ledger accounts is called **posting**.
- ◆ **Posting** involves the following steps.
 - 1) In the **ledger**, enter, in the appropriate columns of the account(s) debited, the date, journal page, and debit amount shown in the journal.
 - 2) In the reference column of the **journal**, write the account number to which the debit amount was posted.
 - 3) In the **ledger**, enter, in the appropriate columns of the account(s) credited, the date, journal page, and credit amount shown in the journal.
 - 4) In the reference column of the **journal**, write the account number to which the credit amount was posted.

Illustration 2-18 shows these **four steps** using Softbyte Inc.'s first journal entry, the issuance of ordinary shares for €15,000 cash

GENERAL JOURNAL					J1
Date	Account Titles and Explanation	Ref.	Debit	Credit	
2014 Sept.1	Cash	101	15,000		
	Share Capital—Ordinary (Issued shares for cash)	311		15,000	

GENERAL LEDGER					
Cash					No.101
Date	Explanation	Ref.	Debit	Credit	Balance
2014 Sept.1		J1	15,000		15,000

Share Capital—Ordinary					No.311
Date	Explanation	Ref.	Debit	Credit	Balance
2014 Sept.1		J1		15,000	15,000

Key:

- 1 Post to debit account—date, journal page number, and amount.
- 2 Enter debit account number in journal reference column.
- 3 Post to credit account—date, journal page number, and amount.
- 4 Enter credit account number in journal reference column.

Question #3

Posting:

- a. normally occurs before journalizing.
- b. transfers ledger transaction data to the journal.
- c. is an optional step in the recording process.
- d. transfers journal entries to ledger accounts.

Chart of Accounts

- ◆ The **number** and **type** of accounts differ for each company.
- ◆ The number of accounts depends on the amount of detail management desires. For example, the management of one company may want **a single account** for all types of **utility** expense. Another may keep **separate expense accounts** for each type of **utility**, such as gas, electricity, and water.
- ◆ Most companies have a **chart of accounts**. This chart lists the accounts and the account numbers that identify their location in the ledger.
- ◆ The numbering system that identifies the accounts usually starts with the **SoFP accounts** and follows with the **IS accounts**.

Illustration 2-19 Chart of accounts for **Pioneer Advertising Agency Inc.**

Pioneer Advertising Agency Inc. **Chart of Accounts**

Assets

101 Cash
112 Accounts Receivable
126 Supplies
130 Prepaid Insurance
157 Equipment
158 Accumulated Depreciation—
Equipment

Liabilities

200 Notes Payable
201 Accounts Payable
209 Unearned Service Revenue
212 Salaries and Wages Payable
230 Interest Payable

Equity

311 Share Capital—Ordinary
320 Retained Earnings
332 Dividends
350 Income Summary

Revenues

400 Service Revenue

Expenses

631 Supplies Expense
711 Depreciation Expense
722 Insurance Expense
726 Salaries and Wages Expense
729 Rent Expense
732 Utilities Expense
905 Interest Expense

2.3.

The Recording Process Illustrated

- ◆ Illustrations 2-20 through 2-29 show the basic steps in the recording process, using the **October** transactions of Pioneer Advertising Agency Inc.
- ◆ Pioneer's accounting period is a month. **A basic analysis** and **a debit-credit analysis** precede the **journalizing** and **posting** of each transaction.
- ◆ For simplicity, we use the **T-account** form in the illustrations instead of the standard account form.
- ◆ The purpose of transaction analysis is first to identify the type of account involved, and then to determine whether to make a debit or a credit to the account.

Transaction

On October 1, C. R. Yazici invests ₺10,000 cash in an advertising company to be known as Pioneer Advertising Agency Inc.

Basic Analysis

The asset Cash increases ₺10,000, and equity (specifically, Share Capital—Ordinary) increases ₺10,000.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>	
Cash	=			Share Capital	
+10,000				+10,000	Issued Shares

Debit–Credit Analysis

Debits increase assets: debit Cash ₺10,000.
Credits increase equity: credit Share Capital—Ordinary ₺10,000.

Journal Entry

Oct. 1	Cash	101	10,000	
	Share Capital—Ordinary	311		10,000
	(Issued shares for cash)			

Posting

	Cash	101
Oct. 1 10,000		

	Share Capital—Ordinary	311
		Oct. 1 10,000

Transaction

On October 1, Pioneer purchases office equipment costing ₺5,000 by signing a 3-month, 12%, ₺5,000 note payable.

Basic Analysis

The asset Equipment increases ₺5,000, and the liability Notes Payable increases ₺5,000.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
Equipment	=	Notes Payable		
<u>+5,000</u>		<u>+5,000</u>		

Debit–Credit Analysis

Debits increase assets: debit Equipment ₺5,000.
Credits increase liabilities: credit Notes Payable ₺5,000.

Journal Entry

Oct. 1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for office equipment)			

Posting

	Equipment	157
Oct. 1	5,000	

	Notes Payable	200
		Oct. 1 5,000

Transaction

On October 2, Pioneer receives a ₺1,200 cash advance from R. Knox, a client, for advertising services that are expected to be completed by December 31.

Basic Analysis

The asset Cash increases ₺1,200; the liability Unearned Service Revenue increases ₺1,200 because the service has not been provided yet. That is, when Pioneer receives an advance payment, it should record an unearned revenue (a liability) in order to recognize the obligation that exists. Note also that although many liabilities have the word "payable" in their title, unearned revenue is considered a liability even though the word payable is not used.

Equation Analysis

$$\begin{array}{rcl}
 \text{Assets} & = & \text{Liabilities} + \text{Equity} \\
 \text{Cash} & = & \text{Unearned Service Revenue} \\
 +1,200 & & +1,200
 \end{array}$$

Debit–Credit Analysis

Debits increase assets: debit Cash ₺1,200.
Credits increase liabilities: credit Unearned Service Revenue ₺1,200.

Journal Entry

Oct. 2	Cash	101	1,200	
	Unearned Service Revenue (Received cash from R. Knox for future service)	209		1,200

Posting

	Cash	101
Oct. 1	10,000	
2	1,200	

	Unearned Service Revenue	209
Oct. 2		1,200

Transaction

On October 3, Pioneer pays office rent for October in cash, ₪900.

Basic Analysis

Rent Expense increases ₪900 because the payment pertains only to the current month; the asset Cash decreases ₪900.

Equation Analysis

$$\begin{array}{r} \text{Assets} \\ \hline \text{Cash} \\ -900 \end{array} = \begin{array}{r} \text{Liabilities} \\ \hline \end{array} + \begin{array}{r} \text{Equity} \\ \hline \text{Expenses} \\ -900 \end{array} \quad \begin{array}{l} \\ \\ \text{Rent Expense} \end{array}$$

Debit–Credit Analysis

Debits increase expenses: debit Rent Expense ₪900.
Credits decrease assets: credit Cash ₪900.

Journal Entry

Oct. 3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			

Posting

Cash		101	Rent Expense		729
Oct. 1	10,000		Oct. 3	900	
2	1,200				

Transaction

On October 4, Pioneer pays ₪600 for a one-year insurance policy that will expire next year on September 30.

Basic Analysis

The asset Prepaid Insurance increases ₪600 because the payment extends to more than the current month; the asset Cash decreases ₪600. Payments of expenses that will benefit more than one accounting period are prepaid expenses or prepayments. When a company makes a payment, it debits an asset account in order to show the service or benefit that will be received in the future.

Equation Analysis

$$\begin{array}{rcl}
 \text{Assets} & = & \text{Liabilities} + \text{Equity} \\
 \hline
 \text{Cash} + \text{Prepaid Insurance} & & \\
 \hline
 -600 \qquad +600 & &
 \end{array}$$

Debit–Credit Analysis

Debits increase assets: debit Prepaid Insurance ₪600.
Credits decrease assets: credit Cash ₪600.

Journal Entry

Oct. 4	Prepaid Insurance	130	600	600
	Cash	101		
	(Paid one-year policy; effective date October 1)			

Posting

Cash		101
Oct. 1	10,000	Oct. 3 900
2	1,200	4 600

Prepaid Insurance		130
Oct. 4	600	

Transaction

On October 5, Pioneer purchases an estimated 3-month supply of advertising materials on account from Aero Supply for ₪2,500.

Basic Analysis

The asset Supplies increases ₪2,500; the liability Accounts Payable increases ₪2,500.

Equation Analysis

$$\begin{array}{rclcl} \text{Assets} & = & \text{Liabilities} & + & \text{Equity} \\ \text{Supplies} & = & \text{Accounts Payable} & & \\ \hline +2,500 & & +2,500 & & \end{array}$$

Debit – Credit Analysis

Debits increase assets: debit Supplies ₪2,500.
Credits increase liabilities: credit Accounts Payable ₪2,500.

Journal Entry

Oct. 5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			

Posting

Supplies		126
Oct. 5	2,500	

Accounts Payable		201
	Oct. 5	2,500

Event

On October 9, Pioneer hires four employees to begin work on October 15. Each employee is to receive a weekly salary of ₦500 for a 5-day work week, payable every 2 weeks—first payment made on October 26.

Basic Analysis

A business transaction has not occurred. There is only an agreement between the employer and the employees to enter into a business transaction beginning on October 15. Thus, a debit–credit analysis is not needed because there is no accounting entry. (See transaction of October 26 for first entry.)

Transaction

On October 20, Pioneer's board of directors declares and pays a ₪500 cash dividend to shareholders.

Basic Analysis

The Dividends account increases ₪500; the asset Cash decreases ₪500.

Equation Analysis

$$\begin{array}{r} \text{Assets} \\ \hline \text{Cash} \\ -500 \end{array} = \begin{array}{r} \text{Liabilities} \\ \hline \end{array} + \begin{array}{r} \text{Equity} \\ \hline \text{Dividends} \\ -500 \end{array}$$

Debit–Credit Analysis

Debits increase dividends: debit Dividends ₪500.
Credits decrease assets: credit Cash ₪500.

Journal Entry

Oct. 20	Dividends		332	500	
	Cash		101		500
	(Declared and paid a cash dividend)				

Posting

Cash		101	
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
		20	500

Dividends		332
Oct. 20	500	

Transaction

On October 26, Pioneer owes employee salaries of ₪4,000 and pays them in cash. (See October 9 transaction.)

Basic Analysis

Salaries and Wages Expense increases ₪4,000; the asset Cash decreases ₪4,000.

Equation Analysis

Assets	=	Liabilities	+	Equity
Cash	=			Expenses
–4,000				–4,000 Salaries and Wages Expense

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense ₪4,000.
Credits decrease assets: credit Cash ₪4,000.

Journal Entry

Oct. 26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			

Posting

Cash		101
Oct. 1	10,000	Oct. 3 900
2	1,200	4 600
		20 500
		26 4,000

Salaries and Wages Expense		726
Oct. 26	4,000	

Transaction

On October 31, Pioneer receives ₪10,000 in cash from Copa Company for advertising services provided in October.

Basic Analysis

The asset Cash increases ₪10,000; the revenue account Service Revenue increases ₪10,000.

Equation Analysis

$$\begin{array}{rclcl} \text{Assets} & = & \text{Liabilities} & + & \text{Equity} \\ \hline \text{Cash} & = & & & \text{Revenues} \\ +10,000 & & & & +10,000 \quad \text{Service Revenue} \end{array}$$

Debit–Credit Analysis

Debits increase assets: debit Cash ₪10,000.
Credits increase revenues: credit Service Revenue ₪10,000.

Journal Entry

Oct. 31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services provided)			

Posting

Cash		101	
Oct. 1	10,000	Oct. 3	900
2	1,200	4	600
31	10,000	20	500
		26	4,000

Service Revenue		400	
	Oct. 31		10,000

Illustration 2-30 General Journal Entries, **Summery**

General Journal				Page J1
Date	Account Titles and Explanation	Ref.	Debit	Credit
2014				
Oct. 1	Cash	101	10,000	
	Share Capital—Ordinary	311		10,000
	(Issued shares for cash)			
1	Equipment	157	5,000	
	Notes Payable	200		5,000
	(Issued 3-month, 12% note for			
	office equipment)			
2	Cash	101	1,200	
	Unearned Service Revenue	209		1,200
	(Received cash from R. Knox			
	for future service)			
3	Rent Expense	729	900	
	Cash	101		900
	(Paid October rent)			
4	Prepaid Insurance	130	600	
	Cash	101		600
	(Paid one-year policy; effective			
	date October 1)			

Illustration 2-30 General Journal Entries, **Summery**

General Journal				Page J1
Date	Account Titles and Explanation	Ref.	Debit	Credit
5	Supplies	126	2,500	
	Accounts Payable	201		2,500
	(Purchased supplies on account from Aero Supply)			
20	Dividends	332	500	
	Cash	101		500
	(Declared and paid a cash dividend)			
26	Salaries and Wages Expense	726	4,000	
	Cash	101		4,000
	(Paid salaries to date)			
31	Cash	101	10,000	
	Service Revenue	400		10,000
	(Received cash for services provided)			

GENERAL LEDGER

Cash No. 101

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	10,000		10,000
2		J1	1,200		11,200
3		J1		900	10,300
4		J1		600	9,700
20		J1		500	9,200
26		J1		4,000	5,200
31		J1	10,000		15,200

Supplies No. 126

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1	2,500		2,500

Prepaid Insurance No. 130

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 4		J1	600		600

Equipment No. 157

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1	5,000		5,000

Notes Payable No. 200

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		5,000	5,000

Accounts Payable No. 201

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 5		J1		2,500	2,500

Unearned Service Revenue No. 209

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 2		J1		1,200	1,200

Share Capital—Ordinary No. 311

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 1		J1		10,000	10,000

Dividends No. 332

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 20		J1	500		500

Service Revenue No. 400

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 31		J1		10,000	10,000

Salaries and Wages Expense No. 726

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 26		J1	4,000		4,000

Rent Expense No. 729

Date	Explanation	Ref.	Debit	Credit	Balance
2017					
Oct. 3		J1	900		900

Illustration 2-31 General Ledger



DO IT!

Basel Company recorded the following transactions in a **general journal** during the month of **March**. The beginning balance in cash on March 1 was 600 Euro. Post these entries to the Cash account.

Mar. 4	Cash	2,280	
	Service Revenue		2,280
15	Salaries and Wages Expense	400	
	Cash		400
19	Utilities Expense	92	
	Cash		92

Cash			
3/1	600	3/15	400
3/4	2,280	3/19	92
3/31 Bal.	2,388		

2.4.

The Trial Balance

- ◆ A Trial Balance is a list of accounts and their balances at a given time.
- ◆ Customarily, companies prepare a trial balance at the end of an accounting period.
- ◆ They list accounts in the order in which they appear in the ledger.
- ◆ Debit balances appear in the left column and credit balances in the right column.
- ◆ The trial balance proves the mathematical equality of debits and credits after posting.

- ◆ Under the double-entry system, this equality occurs when the sum of the debit account balances equals the sum of the credit account balances.
- ◆ A trial balance may also **uncover** errors in **journalizing** and **posting**.
- ◆ In addition, a trial balance is **useful** in the preparation of financial statements.
- ◆ The **steps** for preparing a trial balance are:
 1. List the account titles and their balances.
 2. Total the debit and credit columns.
 3. Prove the equality of the two columns.

Illustration 2-32 A Trial Balance

Pioneer Advertising Agency Inc.
Trial Balance
October 31, 2014

	<u>Debit</u>	<u>Credit</u>
Cash	₺ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		₺ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Share Capital—Ordinary		10,000
Dividends	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	<u>₺28,700</u>	<u>₺28,700</u>

Limitations of a Trial Balance

- ◆ A trial balance does not **guarantee** freedom from recording errors, however.
- ◆ **Numerous errors** may exist even though the totals of the trial balance columns agree.

Trial balance may **balance** even when:

1. A transaction is not journalized.
2. A correct journal entry is not posted.
3. A journal entry is posted twice.
4. Incorrect accounts are used in journalizing or posting.
5. Offsetting errors are made in recording the amount of a transaction.

Ethics Note



An *error* is the result of an unintentional mistake; it is neither ethical nor unethical.

An *irregularity* is an intentional misstatement, which is viewed as unethical.

Locating Errors

- ◆ Errors in a trial balance generally result from **mathematical mistakes**, **incorrect postings**, or simply **transcribing** data incorrectly.
- ◆ What do you do if you are faced with a trial balance that **does not balance**?
- ◆ First, determine the amount of the difference between the two columns of the trial balance.
- ◆ After this amount is known, the following steps are often helpful:
 - 1) If the error is \$1, \$10, \$100, or \$1,000, re-add the trial balance columns and re-compute the account balances.

- 2) If the error is divisible by 2, scan the trial balance to see whether **a balance equal to half the error** has been entered in the wrong column.
- 3) If the error is divisible by 9, re-trace the account balances on the trial balance to see whether they are incorrectly copied from the ledger. For example, if a balance was \$12 and it was listed as \$21, a \$9 error has been made. Reversing the order of numbers is called a **transposition error**.
- 4) If the error is not divisible by 2 or 9, scan the ledger to see whether an account balance in the amount of the error has been omitted from the trial balance, and scan the journal to see whether a posting of that amount has been omitted.

Currency Signs and Underlining

Currency Signs

- ◆ Do not appear in journals or ledgers.
- ◆ Typically used only in the trial balance and the financial statements.
- ◆ Shown only for the first item in the column and for the total of that column.

Underlining

- ◆ A single line is placed under the column of figures to be added or subtracted.
- ◆ Totals are double-underlined.



DO IT!

Trial Balance

The following accounts come from the ledger of SnowGo Company at December 31, 2014 (Japanese yen in thousands).

157	Equipment	¥88,000	311	Share Capital—Ordinary	¥20,000
332	Dividends	8,000	212	Salaries and	
201	Accounts Payable	22,000		Wages Payable	2,000
726	Salaries and		200	Notes Payable	19,000
	Wages Expense	42,000	732	Utilities Expense	3,000
112	Accounts Receivable	4,000	130	Prepaid Insurance	6,000
400	Service Revenue	95,000	101	Cash	7,000

Prepare a trial balance in good form.

Solution

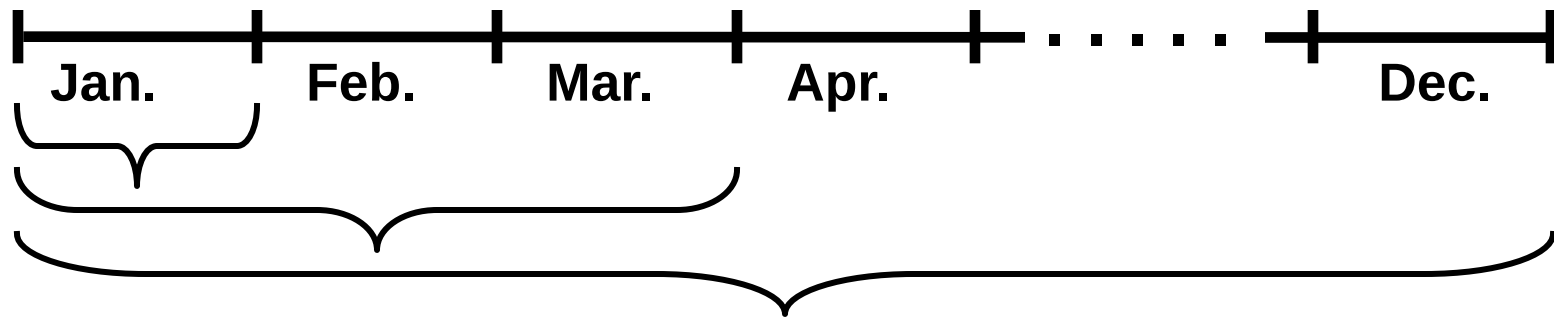
SnowGo Company
Trial Balance (in thousands)
December 31, 2014

	<u>Debit</u>	<u>Credit</u>
Cash	¥ 7,000	
Accounts Receivable	4,000	
Prepaid Insurance	6,000	
Equipment	88,000	
Notes Payable		¥ 19,000
Accounts Payable		22,000
Salaries and Wages Payable		2,000
Share Capital—Ordinary		20,000
Dividends	8,000	
Service Revenue		95,000
Utilities Expense	3,000	
Salaries and Wages Expense	42,000	
	<u>¥158,000</u>	<u>¥158,000</u>

2.5.

Adjusting Entries- *Timing Issues*

Accountants divide the economic life of a business into artificial time periods (**Time Period Assumption**).



- ◆ Generally a month, a quarter, or a year.
- ◆ Also known as the "*Periodicity Assumption*"

Fiscal and Calendar Years

- ◆ Monthly and quarterly time periods are called **interim periods**.
- ◆ Most large companies must prepare both **quarterly** and **annual** financial statements.
- ◆ **Fiscal Year** = Accounting time period that is **one year** in length.
- ◆ **Calendar Year** = **January 1** to **December 31**.

Question #4

The time period assumption states that:

- a. Companies must wait until the calendar year is completed to prepare financial statements.
- b. Companies use the fiscal year to report financial information.
- c. The economic life of a business can be divided into artificial time periods.
- d. Companies record information in the time period in which the events occur.

Accrual- Versus Cash-Basis of Accounting

Accrual-Basis of Accounting

- ◆ Transactions recorded in the periods in which the events occur.
- ◆ Companies **recognize revenues** when they perform services (rather than when they receive cash).
- ◆ **Expenses are recognized** when incurred (rather than when paid).

Accrual- Versus Cash-Basis of Accounting

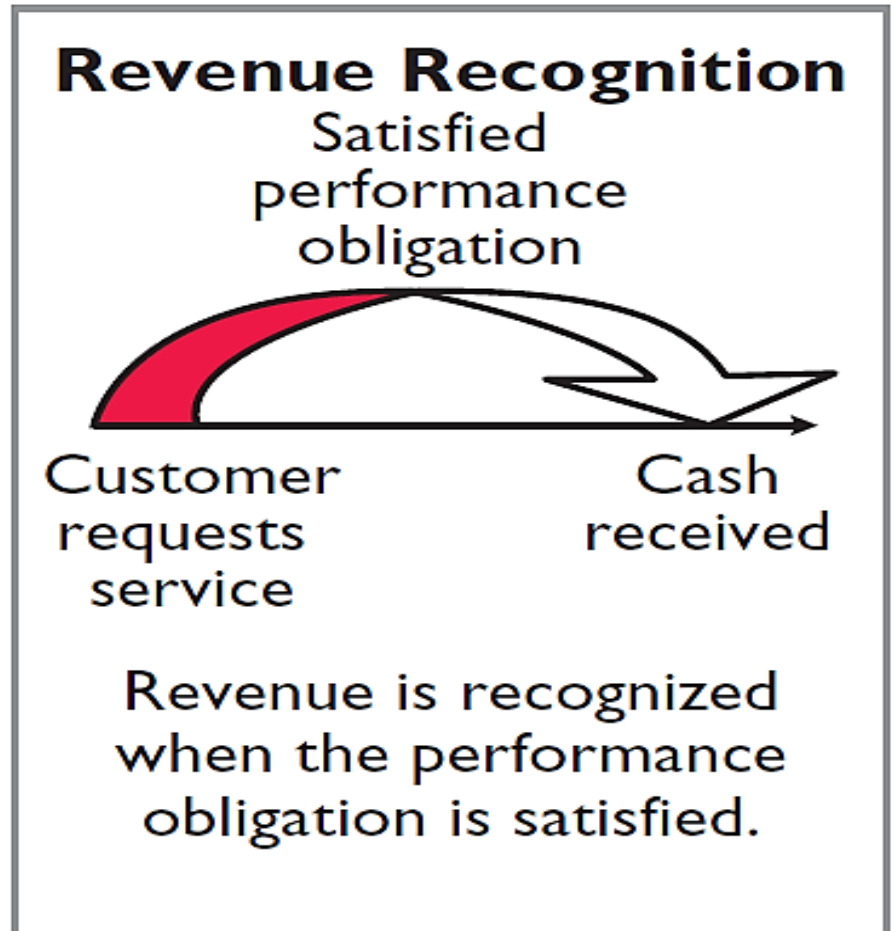
Cash-Basis of Accounting

- ◆ **Revenues** are recorded when cash is received.
- ◆ **Expenses** are recorded when cash is paid.
- ◆ **Cash-basis of accounting** is not in accordance with International Financial Reporting Standards (IFRS).

Recognizing Revenues and Expenses

REVENUE RECOGNITION PRINCIPLE

Recognize revenue in the accounting period in which the **performance obligation** is satisfied.



Recognizing Revenues and Expenses

EXPENSE RECOGNITION PRINCIPLE

Match expenses with revenues in the period when the company makes efforts to generate those revenues.

"Let the expenses follow the revenues."

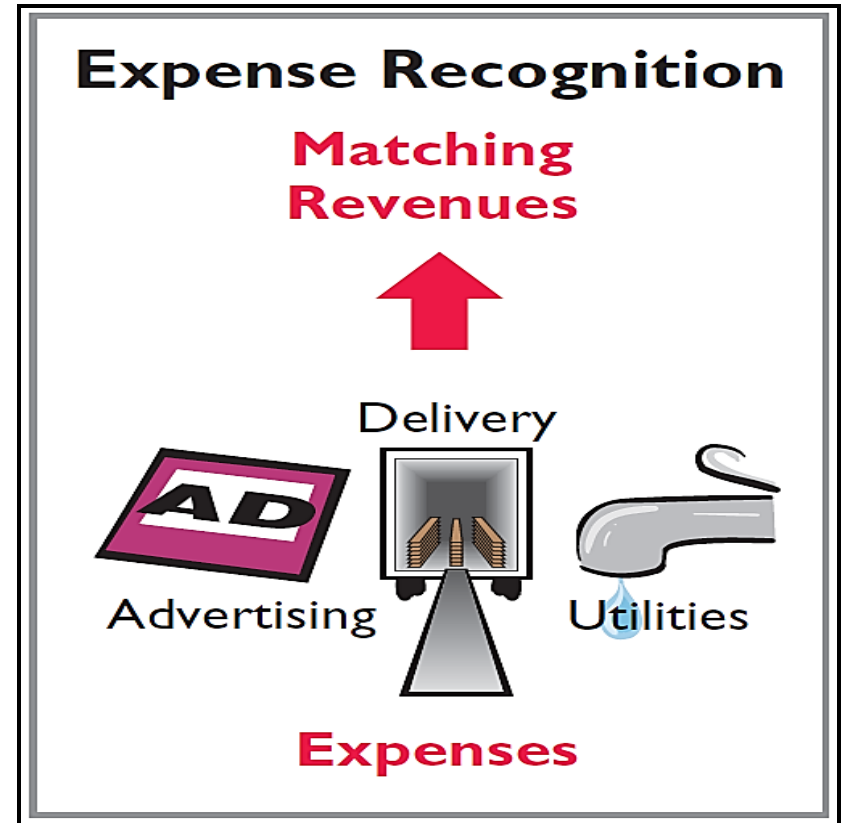
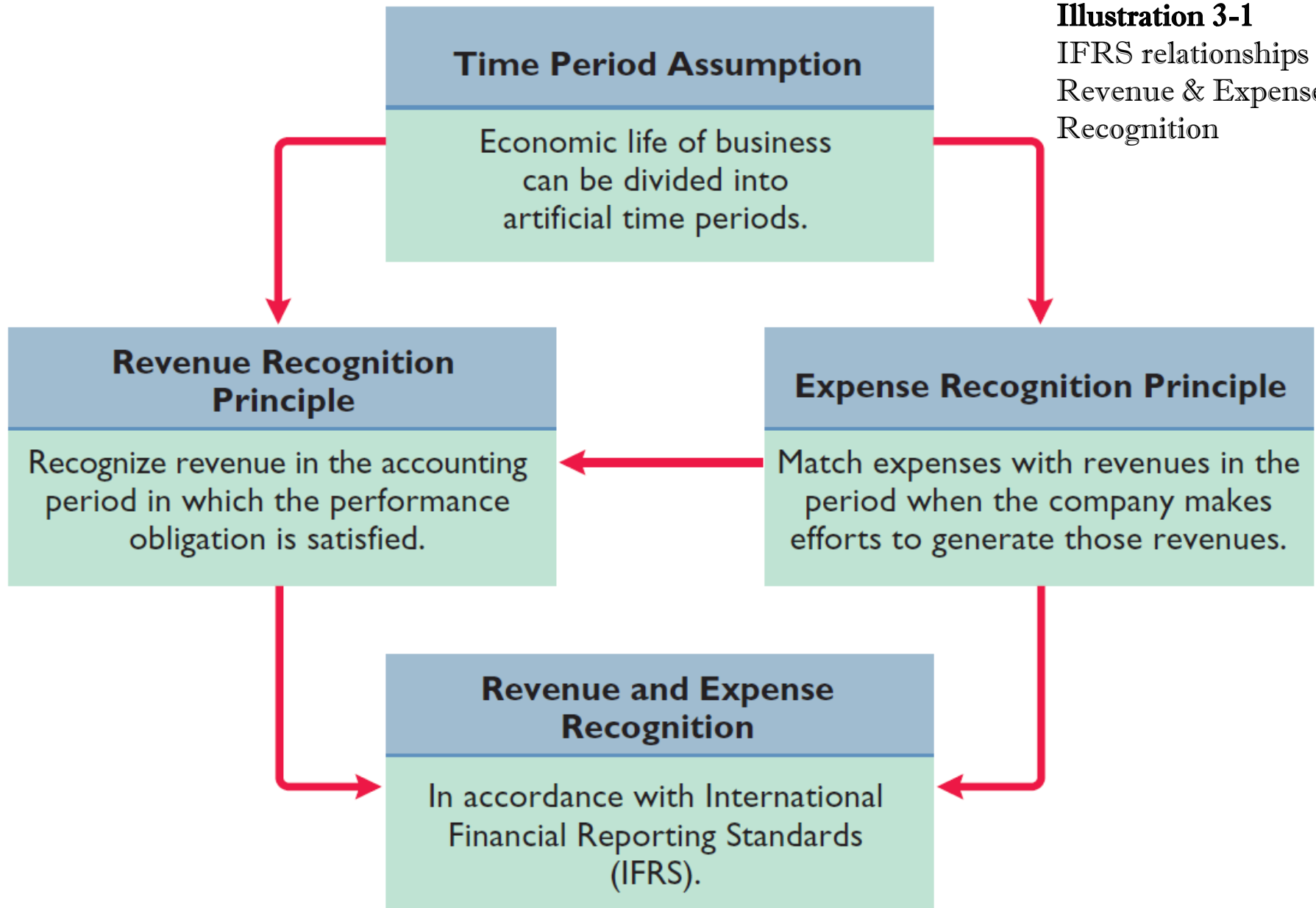


Illustration 3-1
IFRS relationships in
Revenue & Expense
Recognition



Recognizing Revenues and Expenses

Question #5

The revenue recognition principle states that:

- a. Revenue should be recognized in the accounting period in which a performance obligation is satisfied.
- b. Expenses should be matched with revenues.
- c. The economic life of a business can be divided into artificial time periods.
- d. The fiscal year should correspond with the calendar year.



DO IT!

A list of concepts is provided in the left column below, with a description of the concept in the right column below. There are more descriptions provided than concepts. Match the description of the concept to the concept.

- | | |
|--|--|
| 1. ____ Accrual-basis accounting. | (a) Monthly and quarterly time periods. |
| 2. ____ Calendar year. | (b) Efforts (expenses) should be matched with results (revenues). |
| 3. ____ Time period assumption. | (c) Accountants divide the economic life of a business into artificial time periods. |
| 4. ____ Expense recognition principle. | (d) Companies record revenues when they receive cash and record expenses when they pay out cash. |
| | (e) An accounting time period that starts on January 1 and ends on December 31. |
| | (f) Companies record transactions in the period in which the events occur. |

2.6.

The Basics of Adjusting Entries

Adjusting Entries

- ◆ Ensure that the **revenue recognition** and **expense recognition** principles are followed.
- ◆ Necessary because the trial balance may not contain **up-to-date** and complete data.
- ◆ **Required** every time a company prepares financial statements.
- ◆ Will include **one** income statement account and **one** SoFP account.

Question #6

Adjusting entries are made to ensure that:

- a. Expenses are recognized in the period in which they are incurred.
- b. Revenues are recorded in the period in which services are performed.
- c. Statement of financial position and income statement accounts have correct balances at the end of an accounting period.
- d. All of the above.

Types of Adjusting Entries

Deferrals

1. Prepaid Expenses.

Expenses paid in cash before they are used or consumed.

2. Unearned Revenues.

Cash received before services are performed.

Accruals

1. Accrued Revenues.

Revenues for services performed but not yet received in cash or recorded.

2. Accrued Expenses.

Expenses incurred but not yet paid in cash or recorded.

Illustration 3-2

Categories of Adjusting Entries

Pioneer Advertising Agency Inc.

Trial Balance

October 31, 2014

	<u>Debit</u>	<u>Credit</u>
Cash	₺ 15,200	
Supplies	2,500	
Prepaid Insurance	600	
Equipment	5,000	
Notes Payable		₺ 5,000
Accounts Payable		2,500
Unearned Service Revenue		1,200
Share Capital—Ordinary		10,000
Dividends	500	
Service Revenue		10,000
Salaries and Wages Expense	4,000	
Rent Expense	900	
	<u>₺28,700</u>	<u>₺28,700</u>

Illustration 3-3

Trial Balance

Each account is analyzed to determine whether it is **complete** and **up-to-date** for FS purposes.

Adjusting Entries for Deferrals

Deferrals are expenses or revenues that are recognized at a date later than the point when cash was originally exchanged.

There are **two types** of deferrals:

- ◆ Prepaid Expenses and
- ◆ Unearned Revenues.

PREPAID EXPENSES

Payments of expenses that will benefit more than one accounting period.

Cash Payment

BEFORE

Expense Recorded

Prepayments often occur in regard to:

- ◆ Insurance
- ◆ Supplies
- ◆ Advertising
- ◆ Rent
- ◆ Buildings and Equipment

Cont'd

- ◆ Expire either with the **passage of time** or **through use**.
- ◆ Adjusting entry:
 - ▶ **Increase** (debit) to an **expense account** and
 - ▶ **Decrease** (credit) to an **asset account**.

Illustration 3-4

Adjusting Entries for Prepaid Expenses

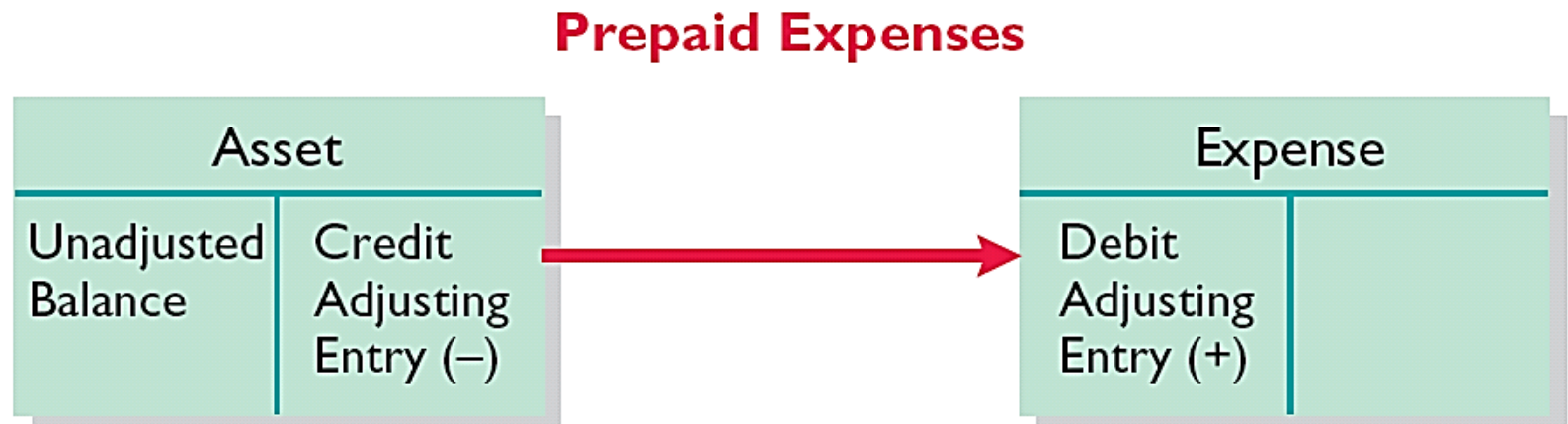


Illustration: Pioneer Advertising Inc. purchased supplies costing ₦2,500 on October 5. **Pioneer** recorded the purchase by increasing (debiting) the asset **Supplies**. This account shows a balance of ₦2,500 in the October 31 trial balance. An inventory count at the close of business on October 31 reveals that ₦1,000 of **supplies** are **still on hand**.



Oct. 31	Supplies Expense	1,500
---------	------------------	-------

	Supplies	1,500
--	----------	-------

Illustration 3-5

Adjustment for Supplies

Basic Analysis

The expense Supplies Expense is increased ₪1,500, and the asset Supplies is decreased ₪1,500.

Equation Analysis

$$\begin{array}{rcl}
 \text{Assets} & = & \text{Liabilities} + \text{Equity} \\
 \hline
 \text{Supplies} & = & \text{Supplies Expense} \\
 \hline
 -\text{₪1,500} & & -\text{₪1,500}
 \end{array}$$

Debit–Credit Analysis

Debits increase expenses: debit Supplies Expense ₪1,500.
Credits decrease assets: credit Supplies ₪1,500.

Journal Entry

Oct. 31	Supplies Expense	1,500	
	Supplies		1,500
	(To record supplies used)		

Posting

Supplies				126
Oct. 5	2,500	Oct. 31	Adj. 1,500	
Oct. 31	Bal. 1,000			

Supplies Expense				631
Oct. 31	Adj. 1,500			
Oct. 31	Bal. 1,500			

Oct. 4



Insurance purchased;
record asset

Insurance Policy			
Oct ₹50	Nov ₹50	Dec ₹50	Jan ₹50
Feb ₹50	March ₹50	April ₹50	May ₹50
June ₹50	July ₹50	Aug ₹50	Sept ₹50
Insurance = ₹600/year			

Oct. 31

Insurance expired;
record insurance expense

Oct. 31	Insurance Expense	50
---------	-------------------	----

Prepaid Insurance	50
-------------------	----

Illustration 3-6

Adjustment for Insurance

Basic Analysis

The expense Insurance Expense is increased ₪50, and the asset Prepaid Insurance is decreased ₪50.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
Prepaid Insurance	=			Insurance Expense
-₪50				-₪50

Debit-Credit Analysis

Debits increase expenses: debit Insurance Expense ₪50.
Credits decrease assets: credit Prepaid Insurance ₪50.

Journal Entry

Oct. 31	Insurance Expense	50	
	Prepaid Insurance		50
	(To record insurance expired)		

Posting

Prepaid Insurance		130
Oct. 4	600	Oct. 31 Adj. 50
Oct. 31	Bal. 550	

Insurance Expense		722
Oct. 31	Adj. 50	
Oct. 31	Bal. 50	

DEPRECIATION

- ◆ Buildings, equipment, and motor vehicles (assets that provide service for many years) are recorded as assets, rather than an expense, on the date acquired.
- ◆ Depreciation is the process of allocating the cost of an asset to expense over its useful life.
- ◆ Depreciation does not attempt to report the actual change in the value of the asset.

Illustration: For **Pioneer Advertising**, assume that depreciation on the equipment is ₺480 a year, or ₺40 per month.

Oct. 31

Depreciation Expense	40	
Accumulated Depreciation		40

Accumulated Depreciation is called a **Contra Asset Account**.

•HELPFUL HINT

All **Contra Accounts** have increases, decreases, and normal balances **opposite** to the account to which they relate.

Depreciation

Oct. 2



Equipment purchased;
record asset

Equipment			
Oct ₺40	Nov ₺40	Dec ₺40	Jan ₺40
Feb ₺40	March ₺40	April ₺40	May ₺40
June ₺40	July ₺40	Aug ₺40	Sept ₺40
Depreciation = ₺480/year			

Oct. 31

Depreciation recognized;
record depreciation expense

Illustration 3-7

Adjustment for Depreciation

Basic
Analysis

The expense Depreciation Expense is increased ₪40, and the contra asset Accumulated Depreciation—Equipment is increased ₪40.

Equation
Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
Accumulated Depreciation—Equipment	=			Depreciation Expense
-₪40				-₪40

Debit-Credit
Analysis

Debits increase expenses: debit Depreciation Expense ₪40.
Credits increase contra assets: credit Accumulated Depreciation—Equipment ₪40.

Journal
Entry

Oct. 31	Depreciation Expense	40	
	Accumulated Depreciation—Equipment		40
	(To record monthly depreciation)		

Posting

	Equipment	157
Oct. 2	5,000	
Oct. 31	Bal. 5,000	

	Accumulated Depreciation— Equipment	158
	Oct. 31 Adj. 40	
	Oct. 31 Bal. 40	

	Depreciation Expense	711
Oct. 31	Adj. 40	
Oct. 31	Bal. 40	

Statement Presentation

- ◆ Accumulated Depreciation is a **contra asset account** (credit).
- ◆ Appears just after the account it offsets (Equipment) on the SOFP.
- ◆ **Book Value** is the difference between the **cost of any depreciable asset** and **its accumulated depreciation**.

Illustration 3-8: SoFP Presentation of Accumulated Depreciation

Equipment	₺ 5,000
Less: Accumulated depreciation—equipment	<u>40</u>
	₺ 4,960

Illustration 3-9: Accounting for Prepaid Expenses

Accounting for Prepaid Expenses

<u>Examples</u>	<u>Reason for Adjustment</u>	<u>Accounts Before Adjustment</u>	<u>Adjusting Entry</u>
Insurance, supplies, advertising, rent, depreciation	Prepaid expenses recorded in asset accounts have been used.	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Asset

UNEARNED REVENUES

Receipt of cash that is recorded as **a liability** because the service has not been performed.

Cash Receipt

BEFORE

Revenue Recorded

Unearned revenues often occur in regard to:

- ◆ Rent
- ◆ Magazine subscriptions
- ◆ Airline tickets
- ◆ Customer deposits

- ◆ Adjusting entry is made to **record the revenue** for services performed during the period and to show the liability that remains at the end of the accounting period.
- ◆ Results in a **decrease (debit)** to a liability account and an **increase (credit)** to a revenue account.

Illustration 3-10: Adjusting Entries for Unearned Revenues

Unearned Revenues



Illustration: **Pioneer Advertising Inc.** received ₺1,200 on October 2 from **R. Knox** for advertising services expected to be completed by December 31. **Unearned Service Revenue** shows a balance of ₺1,200 in the October 31 trial balance. Analysis reveals that the company performed ₺400 of services in **October**.

Oct. 31	Unearned Service Revenue	400	
	Service Revenue		400

Illustration 3-11

Service Revenue Accounts for Adjustment

Basic Analysis

The liability Unearned Service Revenue is decreased ₪400, and the revenue Service Revenue is increased ₪400.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
		Unearned Service Revenue		Service Revenue
		-₪400		+₪400

Debit–Credit Analysis

Debits decrease liabilities: debit Unearned Service Revenue ₪400.
Credits increase revenues: credit Service Revenue ₪400.

Journal Entry

Oct. 31	Unearned Service Revenue		400	
	Service Revenue			400
	(To record revenue for services performed)			

Posting

Unearned Service Revenue		209
Oct. 31	Adj. 400	
	Oct. 2	1,200
	Oct. 31	Bal. 800

Service Revenue		400
	Oct. 3	10,000
	31	Adj. 400
	Oct. 31	Bal. 10,400

Illustration 3-12: Accounting for Unearned Revenues

Accounting for Unearned Revenues

Examples	Reason for Adjustment	Accounts Before Adjustment	Adjusting Entry
Rent, magazine subscriptions, customer deposits for future service	Unearned revenues recorded in liability accounts are now recognized as revenue for services performed.	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues



DO IT!

The ledger of **Zhu Company** on March 31, 2014, includes these selected accounts before adjusting entries are prepared.

(amounts in thousands)

	<u>Debit</u>	<u>Credit</u>
Prepaid Insurance	¥ 3,600	
Supplies	2,800	
Equipment	25,000	
Accumulated Depreciation—Equipment		¥ 5,000
Unearned Service Revenue		9,200

An analysis of the accounts shows the following.

1. Insurance expires at the rate of ¥100 per month.
2. Supplies on hand total ¥800.
3. The equipment depreciates ¥200 a month.
4. One-half of the USR was recognized in March.

Prepare the adjusting entries for the month of March.

Adjusting Entries for Accruals

Accruals are made to record

- ◆ Revenues for services performed but not yet recorded at the statement date (**accrued revenues**).

OR

- ◆ Expenses incurred but not yet paid or recorded at the statement date (**accrued expenses**).

ACCRUED REVENUES

Revenues for services performed but not yet received in cash or recorded.

Revenue Recorded

BEFORE

Cash Receipt

Accrued revenues often occur in regard to:

- ◆ Rent
- ◆ Services performed
- ◆ Interest

- ◆ Adjusting entry records the **receivable** that exists and records the **revenues** for services performed.
- ◆ Adjusting entry:
 - ▶ **Increases** (debits) an **asset** account and
 - ▶ **Increases** (credits) a **revenue** account.

Illustration 3-13: Adjusting Entries for Accrued Revenues

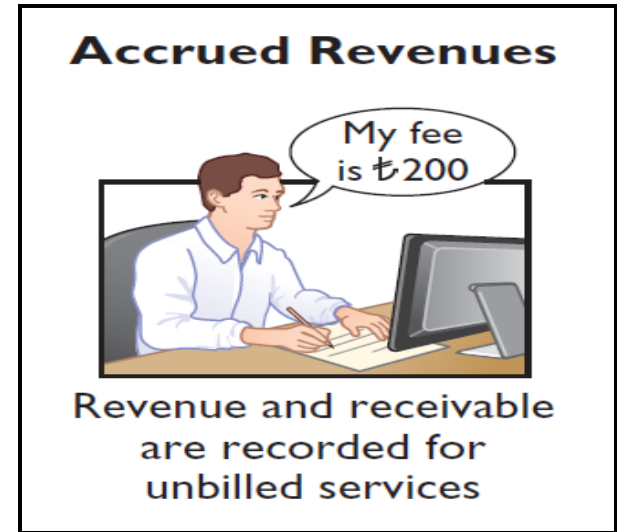
Accrued Revenues



Illustration: In October, **Pioneer Advertising Inc.** performed services worth ₺200 that were not billed to clients in October.

Oct. 31

Accounts Receivable	200	
Service Revenue		200



On November 10, **Pioneer** receives cash of ₺200 for the services performed.

Nov. 10	Cash	200	
	Accounts Receivable		200

Illustration 3-14

Adjustment for Accrued revenue

Basic Analysis

The asset Accounts Receivable is increased ₪200, and the revenue Service Revenue is increased ₪200.

Equation Analysis

$$\begin{array}{r}
 \text{Assets} \\
 \hline
 \text{Accounts Receivable} \\
 + \text{₪200}
 \end{array}
 =
 \begin{array}{r}
 \text{Liabilities} \\
 \hline
 \end{array}
 +
 \begin{array}{r}
 \text{Equity} \\
 \hline
 \text{Service Revenue} \\
 + \text{₪200}
 \end{array}$$

Debit–Credit Analysis

Debits increase assets: debit Accounts Receivable ₪200.
Credits increase revenues: credit Service Revenue ₪200.

Journal Entry

Oct. 31	Accounts Receivable	200	
	Service Revenue		200
	(To record revenue for services performed)		

Posting

Accounts Receivable		112	Service Revenue		400
Oct. 31	Adj. 200		Oct. 3		10,000
			31		400
			31	Adj. 200	
Oct. 31	Bal. 200		Oct. 31	Bal.	10,600

Illustration 3-15: Accounting for Accrued Revenues

Accounting for Accrued Revenues			
Examples	Reason for Adjustment	Accounts Before Adjustment	Adjusting Entry
Interest, rent, services performed but not collected	Services performed but not yet recorded.	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues

ACCRUED EXPENSES

Expenses incurred but not yet paid in cash or recorded.

Expense Recorded

BEFORE

Cash Payment

Accrued expenses often occur in regard to:

- ◆ Interest
- ◆ Taxes
- ◆ Salaries

- ◆ Adjusting entry records the obligation and recognizes the expense.
- ◆ Adjusting entry:
 - ▶ **Increase (debit) an expense account and**
 - ▶ **Increase (credit) a liability account.**

Illustration 3-16: Adjusting Entries for Accrued Expenses

Accrued Expenses



Illustration: **Pioneer Advertising Inc.** signed a three-month note payable in the amount of ₺5,000 on October 1. The note requires **Pioneer** to pay interest at an annual rate of 12%.

Illustration 3-17: Formula for Computing Interest

Face Value of Note	×	Annual Interest Rate	×	Time in Terms of One Year	=	Interest
₺5,000	×	12%	×	$\frac{1}{12}$	=	₺50

Oct. 31	Interest Expense	50	
	Interest Payable		50

Illustration 3-18 Adjustment for Accrued Interest

Basic Analysis

The expense Interest Expense is increased ₪50, and the liability Interest Payable is increased ₪50.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
		Interest Payable		Interest Expense
		+₪50		-₪50

Debit–Credit Analysis

Debits increase expenses: debit Interest Expense ₪50.
Credits increase liabilities: credit Interest Payable ₪50.

Journal Entry

Oct. 31	Interest Expense	50	
	Interest Payable		50
	(To record interest on notes payable)		

Posting

Interest Expense		905
Oct. 31	Adj. 50	
Oct. 31	Bal. 50	

Interest Payable		230
	Oct. 31	Adj. 50
	Oct. 31	Bal. 50

Illustration: **Pioneer** paid salaries and wages on October 26; the next payment of salaries will not occur until November 9. The employees receive total salaries of ₦2,000 for a five-day work week, or ₦400 per day. Thus, accrued salaries at October 31 are ₦1,200 (₦400 × 3 days).

Illustration 3-19: Calendar Showing Pioneer's Pay Periods



Illustration 3-20 Adjustment for Accrued Salaries & Wages

Basic Analysis

The expense Salaries and Wages Expense is increased ₪1,200, and the liability account Salaries and Wages Payable is increased ₪1,200.

Equation Analysis

<u>Assets</u>	=	<u>Liabilities</u>	+	<u>Equity</u>
		Salaries and Wages Payable		Salaries and Wages Expense
		+ ₪1,200		- ₪1,200

Debit–Credit Analysis

Debits increase expenses: debit Salaries and Wages Expense ₪1,200.
Credits increase liabilities: credit Salaries and Wages Payable ₪1,200.

Journal Entry

Oct. 31	Salaries and Wages Expense	1,200	
	Salaries and Wages Payable		1,200
	(To record accrued salaries and wages)		

Posting

Salaries and Wages Expense			726	Salaries and Wages Payable			212
Oct. 26		4,000			Oct. 31	Adj.	1,200
31	Adj.	1,200					
Oct. 31	Bal.	5,200			Oct. 31	Bal.	1,200

Illustration 3-21: Accounting for Accrued Expenses

Accounting for Accrued Expenses

<u>Examples</u>	<u>Reason for Adjustment</u>	<u>Accounts Before Adjustment</u>	<u>Adjusting Entry</u>
Interest, rent, salaries	Expenses have been incurred but not yet paid in cash or recorded.	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities



DO IT!

Micro Computer Services began operations on August 1, 2014. At the end of August 2014, management prepares monthly financial statements. The following information relates to August.

1. At August 31, the company owed its employees ¥8,000 in salaries and wages that will be paid on September 1.
2. On August 1, the company borrowed ¥300,000 from a local bank on a 15-year mortgage. The annual interest rate is 10%.
3. Revenue for services performed but unrecorded for August totaled ¥11,000.

Prepare the adjusting entries needed at August 31, 2014.

Summary of Basic Relationships

Illustration 3-22: Summary of Adjusting Entries

<u>Type of Adjustment</u>	<u>Accounts Before Adjustment</u>	<u>Adjusting Entry</u>
Prepaid expenses	Assets overstated. Expenses understated.	Dr. Expenses Cr. Assets or Contra Assets
Unearned revenues	Liabilities overstated. Revenues understated.	Dr. Liabilities Cr. Revenues
Accrued revenues	Assets understated. Revenues understated.	Dr. Assets Cr. Revenues
Accrued expenses	Expenses understated. Liabilities understated.	Dr. Expenses Cr. Liabilities

- ◆ Illustrations 3-23 & 3-24 (on next slides) show the journalizing and posting of adjusting entries for Pioneer Advertising Agency Inc. on October 31.
- ◆ The ledger identifies all adjustments by the reference J2 because they have been recorded on page 2 of the general journal.
- ◆ The company may insert a center caption "Adjusting Entries" between the last transaction entry and the first adjusting entry in the journal.
- ◆ When you review the general ledger in Illustration 3-24, note that the entries highlighted in color are the adjustments.

Illustration 3-23: General Journal Showing Adjusting Entries

General Journal					J2
Date	Account Titles and Explanation	Ref.	Debit	Credit	
2014	<u>Adjusting Entries</u>				
Oct. 31	Supplies Expense	631	1,500		
	Supplies	126		1,500	
	(To record supplies used)				
31	Insurance Expense	722	50		
	Prepaid Insurance	130		50	
	(To record insurance expired)				
31	Depreciation Expense	711	40		
	Accumulated Depreciation—Equipment	158		40	
	(To record monthly depreciation)				
31	Unearned Service Revenue	209	400		
	Service Revenue	400		400	
	(To record revenue for services performed)				
31	Accounts Receivable	112	200		
	Service Revenue	400		200	
	(To record revenue for services performed)				
31	Interest Expense	905	50		
	Interest Payable	230		50	
	(To record interest on notes payable)				
31	Salaries and Wages Expense	726	1,200		
	Salaries and Wages Payable	212		1,200	
	(To record accrued salaries and wages)				

Illustration 3-24

General ledger after adjustment

General Ledger

Cash					No. 101
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1	10,000		10,000
2		J1	1,200		11,200
3		J1		900	10,300
4		J1		600	9,700
20		J1		500	9,200
26		J1		4,000	5,200
31		J1	10,000		15,200

Accounts Receivable					No. 112
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	200		200

Supplies					No. 126
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 5		J1	2,500		2,500
31	Adj. entry	J2		1,500	1,000

Prepaid Insurance					No. 130
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 4		J1	600		600
31	Adj. entry	J2		50	550

Equipment					No. 157
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1	5,000		5,000

Interest Payable					No. 230
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2		50	50

Share Capital—Ordinary					No. 311
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1		10,000	10,000

Retained Earnings					No. 320
Date	Explanation	Ref.	Debit	Credit	Balance
2014					

Dividends					No. 332
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 20		J1	500		500

Service Revenue					No. 400
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31		J1		10,000	10,000
31	Adj. entry	J2		400	10,400
31	Adj. entry	J2		200	10,600

Supplies Expense					No. 631
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	1,500		1,500

Cont'd

Accumulated Depreciation—Equipment No. 158

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2		40	40

Notes Payable No. 200

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1		5,000	5,000

Accounts Payable No. 201

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 5		J1		2,500	2,500

Unearned Service Revenue No. 209

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 2		J1		1,200	1,200
31	Adj. entry	J2	400		800

Salaries and Wages Payable No. 212

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2		1,200	1,200

Depreciation Expense No. 711

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	40		40

Insurance Expense No. 722

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	50		50

Salaries and Wages Expense No. 726

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 26		J1	4,000		4,000
31	Adj. entry	J2	1,200		5,200

Rent Expense No. 729

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 3		J1	900		900

Interest Expense No. 905

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	50		50

2.7. The Adjusted Trial Balance & FS's

Preparing the Adjusted Trial Balance

- ◆ Prepared **after all adjusting entries** are journalized and posted.
- ◆ Purpose is to **prove the equality** of debit balances and credit balances in the ledger.
- ◆ Is the **primary basis** for the preparation of financial statements.

Illustration 3-25: Adjusted Trial Balance

Pioneer Advertising Agency Inc. Adjusted Trial Balance October 31, 2014

	<u>Dr.</u>	<u>Cr.</u>
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Interest Payable		50
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Share Capital—Ordinary		10,000
Retained Earnings		—0—
Dividends	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	<u>₺30,190</u>	<u>₺30,190</u>

Question #7

Which of the following statements is incorrect concerning the adjusted trial balance?

- a. An adjusted trial balance proves the equality of the total debit balances and the total credit balances in the ledger after all adjustments are made.
- b. The adjusted trial balance provides the primary basis for the preparation of financial statements.
- c. The adjusted trial balance lists the account balances segregated by assets and liabilities.
- d. The adjusted trial balance is prepared after the adjusting entries have been journalized and posted.

Preparing Financial Statements

Financial Statements are prepared directly from the **Adjusted Trial Balance**.



**Income
Statement**



**Retained
Earnings
Statement**



**Statement
of Financial
Position**

Pioneer Advertising Agency Inc.
Adjusted Trial Balance
October 31, 2014

Account	Debit	Credit
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Office Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		10,000
Retained Earnings		-0-
Dividends	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	<u>₺30,190</u>	<u>₺30,190</u>

Pioneer Advertising Agency Inc.
Income Statement
For the Month Ended October 31, 2014

Revenues	
Service revenue	₺10,600
Expenses	
Salaries and wages expense	₺5,200
Supplies expense	1,500
Rent expense	900
Insurance expense	50
Interest expense	50
Depreciation expense	40
	<u>7,740</u>
Total expenses	
Net income	<u>₺ 2,860</u>

Pioneer Advertising Agency Inc.
Retained Earnings Statement
For the Month Ended October 31, 2014

Retained earnings, October 1	₺ -0-
Add: Net income	<u>2,860</u>
	2,860
Less: Dividends	<u>500</u>
Retained earnings, October 31	<u>₺2,360</u>

To statement of
financial position

Illustration 3-27: The Preparation of the SoFP from the Adjusted Trial Balance

Pioneer Advertising Agency Inc. Adjusted Trial Balance October 31, 2014		
Account	Debit	Credit
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		10,000
Retained Earnings		—0—
Dividends	500	
Service Revenue		10,600
Salaries and Wages Expense	5,200	
Supplies Expense	1,500	
Rent Expense	900	
Insurance Expense	50	
Interest Expense	50	
Depreciation Expense	40	
	<u>₺30,190</u>	<u>₺30,190</u>

Pioneer Advertising Agency Inc. Statement of Financial Position October 31, 2014		
<u>Assets</u>		
Equipment	₺5,000	
Less: Accumulated depreciation—equip.	<u>40</u>	₺ 4,960
Prepaid insurance		550
Supplies		1,000
Accounts receivable		200
Cash		<u>15,200</u>
Total assets		<u>₺21,910</u>
<u>Equity and Liabilities</u>		
<u>Equity</u>		
Share capital—ordinary	₺10,000	
Retained earnings	<u>2,360</u>	₺12,360
<u>Liabilities</u>		
Notes payable	5,000	
Accounts payable	2,500	
Unearned service revenue	800	
Salaries and wages payable	1,200	
Interest payable	<u>50</u>	9,550
Total equity and liabilities		<u>₺21,910</u>

Balance at Oct. 31
from Retained Earnings
Statement in Illustration 3-26

Worksheet

- ◆ **Multiple-column** form used in preparing financial statements.
- ◆ Not a permanent accounting record.
- ◆ May be a computerized worksheet using an electronic spreadsheet program such as **Excel**.
- ◆ Prepared using **a five step** process.
- ◆ Use of worksheet is optional.

Steps in Preparing a Worksheet

Illustration 4-1

Form & Procedure For A Worksheet

Worksheet.xls

Home Insert Page Layout Formulas Data Review View

P18 fx

	A	B	C	D	E	F	G	H	I	J	K
1		Worksheet									
2											
3		Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Balance Sheet	
4											
5	Account Titles	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
6											
7											
8											
9											
10											
11											
12											
13											
14											
15											



1
Prepare a trial balance on the worksheet



2
Enter adjustment data



3
Enter adjusted balances



4
Extend adjusted balances to appropriate statement columns
5
Total the statement columns, compute net income (or net loss), and complete worksheet

1. PREPARE A TRIAL BALANCE ON THE WORKSHEET

Illustration 4-2

Account Titles	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Statement of Financial Position	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	15,200									
Supplies	2,500									
Prepaid Insurance	600									
Equipment	5,000									
Notes Payable		5,000								
Accounts Payable		2,500								
Unearned Revenue		1,200								
Share Capital-Ordinary		10,000								
Dividends	500									
Service Revenue		10,000								
Salaries and Wages Exp.	4,000									
Rent Expense	900									
Totals	<u>28,700</u>	<u>28,700</u>								

Trial balance amounts come directly from ledger accounts.

Include all accounts with balances.

Illustration 3-23: General Journal Showing Adjusting Entries

General Journal					J2
Date	Account Titles and Explanation	Ref.	Debit	Credit	
2014	<u>Adjusting Entries</u>				
Oct. 31	Supplies Expense	631	1,500		
	Supplies	126		1,500	
	(To record supplies used)				
31	Insurance Expense	722	50		
	Prepaid Insurance	130		50	
	(To record insurance expired)				
31	Depreciation Expense	711	40		
	Accumulated Depreciation—Equipment	158		40	
	(To record monthly depreciation)				
31	Unearned Service Revenue	209	400		
	Service Revenue	400		400	
	(To record revenue for services performed)				
31	Accounts Receivable	112	200		
	Service Revenue	400		200	
	(To record revenue for services performed)				
31	Interest Expense	905	50		
	Interest Payable	230		50	
	(To record interest on notes payable)				
31	Salaries and Wages Expense	726	1,200		
	Salaries and Wages Payable	212		1,200	
	(To record accrued salaries and wages)				

2. ENTER THE ADJUSTMENTS IN THE ADJUSTMENTS COLUMNS

Account Titles	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Statement of Financial Position	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	15,200									
Supplies	2,500			(a) 1,500						
Prepaid Insurance	600			(b) 50						
Equipment	5,000									
Notes Payable		5,000								
Accounts Payable		2,500								
Unearned Revenue		1,200	(d) 400							
Share Capital-Ordinary		10,000								
Dividends	500									
Service Revenue		10,000		(d) 400						
				(e) 200						
Salaries and Wages Exp.	4,000		(g) 1,200							
Rent Expense	900									
Totals	28,700	28,700								
Supplies Expense			(a) 1,500							
Insurance Expense			(b) 50							
Accumulated Depreciation				(c) 40						
Depreciation Expense			(c) 40							
Accounts Receivable			(e) 200							
Interest Expense			(f) 50							
Interest Payable				(f) 50						
Salaries and Wages Payable				(g) 1,200						
Totals			3,440	3,440						

Adjustments Key:

- (a) Supplies Used.
- (b) Insurance Expired.
- (c) Depreciation Expensed.
- (d) S/Revenue Recognized.
- (e) Service Revenue Accrued.
- (f) Interest Accrued.
- (g) Salaries Accrued.

Enter adjustment amounts, total adjustments columns, and check for equality.

Add additional accounts as needed.

3. COMPLETE THE ADJUSTED TRIAL BALANCE COLUMNS

Illustration 4-2

Account Titles	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Statement of Financial Position	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	15,200				15,200					
Supplies	2,500		(a)	1,500	1,000					
Prepaid Insurance	600		(b)	50	550					
Equipment	5,000				5,000					
Notes Payable		5,000				5,000				
Accounts Payable		2,500				2,500				
Unearned Revenue		1,200	(d)	400		800				
Share Capital-Ordinary		10,000				10,000				
Dividends	500				500					
Service Revenue		10,000	(d)	400		10,600				
			(e)	200						
Salaries and Wages Exp.	4,000		(g)	1,200	5,200					
Rent Expense	900				900					
Totals	28,700	28,700								
Supplies Expense			(a)	1,500	1,500					
Insurance Expense			(b)	50	50					
Accumulated Depreciation				(c)		40				
Depreciation Expense			(c)	40	40					
Accounts Receivable			(e)	200	200					
Interest Expense			(f)	50	50					
Interest Payable				(f)		50				
Salaries and Wages Payable				(g)		1,200				
Totals			3,440	3,440	30,190	30,190				

Total the adjusted trial balance columns and check for equality.

4. EXTEND AMOUNTS TO FINANCIAL STATEMENT COLUMNS

Illus.: 4-2

Account Titles	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Statement of Financial Position	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	15,200				15,200					
Supplies	2,500		(a)	1,500	1,000					
Prepaid Insurance	600		(b)	50	550					
Equipment	5,000				5,000					
Notes Payable		5,000				5,000				
Accounts Payable		2,500				2,500				
Unearned Revenue		1,200	400			800				
Share Capital-Ordinary		10,000	(d)			10,000				
Dividends	500				500					
Service Revenue		10,000	(d)	400		10,600		10,600		
			(e)	200						
Salaries and Wages Exp.	4,000		(g)	1,200	5,200		5,200			
Rent Expense	900				900		900			
Totals	<u>28,700</u>	<u>28,700</u>								
Supplies Expense			(a)	1,500	1,500		1,500			
Insurance Expense			(b)	50	50		50			
Accumulated Depreciation				(c)	40	40				
Depreciation Expense			(c)	40	40		40			
Accounts Receivable			(e)	200	200					
Interest Expense			(f)	50	50		50			
Interest Payable				(f)	50	50				
Salaries and Wages Payable				(g)	1,200	1,200				
Totals			<u>3,440</u>	<u>3,440</u>	<u>30,190</u>	<u>30,190</u>	<u>7,740</u>	<u>10,600</u>		

Extend all revenue and expense account balances to the **IS Columns**.

5. TOTAL COLUMNS, COMPUTE NET INCOME (LOSS)

Illus.: 4-2

Account Titles	Trial Balance		Adjustments		Adjusted Trial Balance		Income Statement		Statement of Financial Position	
	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
Cash	15,200				15,200				15,200	
Supplies	2,500			1,500	1,000				1,000	
Prepaid Insurance	600		(a)	50	550				550	
Equipment	5,000		(b)		5,000				5,000	
Notes Payable		5,000				5,000				5,000
Accounts Payable		2,500				2,500				2,500
Unearned Revenue		1,200	400			800				800
Share Capital-Ordinary		10,000	(d)			10,000				10,000
Dividends	500				500				500	
Service Revenue		10,000		400		10,600		10,600		
			(d)	200						
Salaries and Wages Exp.	4,000		(g)	1,200	5,200		5,200			
Rent Expense	900				900		900			
Totals	<u>28,700</u>	<u>28,700</u>								
Supplies Expense			(a)	1,500	1,500		1,500			
Insurance Expense			(b)	50	50		50			
Accumulated Depreciation				(c)		40				40
Depreciation Expense			(c)	40	40		40			
Accounts Receivable			(e)	200	200				200	
Interest Expense			(f)	50	50		50			
Interest Payable			(f)	50		50				50
Salaries and Wages Payable			(g)	1,200		1,200				1,200
Totals			<u>3,440</u>	<u>3,440</u>	<u>30,190</u>	<u>30,190</u>	<u>7,740</u>	<u>10,600</u>	<u>22,450</u>	<u>19,590</u>
Net Income							2,860			2,860
Totals							<u>10,600</u>	<u>10,600</u>	<u>22,450</u>	<u>22,450</u>

Compute **Net Income** or **Net Loss**.

Preparing FS's from a Worksheet

- ◆ **Income statement** is prepared from the income statement columns.
- ◆ **Statement of financial position** and **retained earnings statement** are prepared from the statement of financial position columns.
- ◆ Companies can prepare financial statements before they journalize and post adjusting entries.

Illustration 4-3: Financial Statements from A Worksheet

Pioneer Advertising Agency Inc. Income Statement For the Month Ended October 31, 2014

Revenues		
Service revenue		₺10,600
Expenses		
Salaries and wages expense	₺5,200	
Supplies expense	1,500	
Rent expense	900	
Insurance expense	50	
Interest expense	50	
Depreciation expense	40	
Total expenses	<u>7,740</u>	
Net income		<u>₺ 2,860</u>

Illustration 4-3: Financial Statements from A Worksheet

Pioneer Advertising Agency Inc. Retained Earnings Statement For the Month Ended October 31, 2014

Retained earnings, October 1	₱ -0-
Add: Net income	<u>2,860</u>
	2,860
Less: Dividends	<u>500</u>
Retained earnings, October 31	<u><u>₱2,360</u></u>

Illustration 4-3: Financial Statements from A Worksheet

Pioneer Advertising Agency Inc. Statement of Financial Position October 31, 2014

<u>Assets</u>		
Equipment	₺ 5,000	
Less: Accumulated depreciation—equipment	<u>40</u>	₺ 4,960
Prepaid insurance		550
Supplies		1,000
Accounts receivable		200
Cash		<u>15,200</u>
Total assets		<u>₺21,910</u>
<u>Equity and Liabilities</u>		
Equity		
Share capital—ordinary	₺10,000	
Retained earnings	<u>2,360</u>	₺12,360
Liabilities		
Notes payable	5,000	
Accounts payable	2,500	
Interest payable	50	
Unearned service revenue	800	
Salaries and wages payable	<u>1,200</u>	<u>9,550</u>
Total equity and liabilities		<u>₺21,910</u>

Preparing Adjusting Entries from a Worksheet

- ◆ Adjusting entries are prepared from the adjustments columns of the worksheet.
- ◆ Journalizing and posting of adjusting entries **follows** the preparation of financial statements when a worksheet is used.

Question #8

Which of the following statements is incorrect concerning the worksheet?

- a. The worksheet is essentially a working tool of the accountant.
- b. The worksheet is distributed to management and other interested parties.
- c. The worksheet cannot be used as a basis for posting to ledger accounts.
- d. Financial statements can be prepared directly from the worksheet before journalizing and posting the adjusting entries.



DO IT!

Susan Elbe is preparing a worksheet. Explain to **Susan** how she should extend the following adjusted trial balance accounts to the financial statement columns of the worksheet.

Cash

Statement of financial position
(debit column)

Accumulated
Depreciation

Statement of financial position
(credit column)

Accounts Payable

Dividends

Income statement
(debit column)

Service Revenue

Income statement
(credit column)

Salaries and
Wages Expense

2.9. Closing the Books

At the end of the accounting period, the company makes the accounts ready for the next period.

Illustration 4-4: Temporary Versus Permanent Accounts

TEMPORARY

These accounts are closed

All revenue accounts

All expense accounts

Dividends

PERMANENT

These accounts are not closed

All asset accounts

All liability accounts

Equity

Preparing Closing Entries

Closing entries formally recognize in the ledger the transfer of

- ◆ net income (or net loss) and
- ◆ Dividends to **Retained Earnings**.

Companies generally journalize and post closing entries **only** at the end of the annual accounting period.

Closing entries produce a **zero** balance in each **temporary account**.

(Individual) Expenses	

(Individual) Revenues	

Income Summary	

Retained Earnings	

Dividends	

Illustration 4-5
Diagram of Closing Process—Corporation

• **HELPFUL HINT**

The **Dividends** account is closed directly to **Retained Earnings** and *not* to **Income Summary** because dividends are not an expense.

RE's is a permanent account. All other accounts are temporary accounts.

Key:

- 1** Close Revenues to Income Summary.
- 2** Close Expenses to Income Summary.
- 3** Close Income Summary to Retained Earnings.
- 4** Close Dividends to Retained Earnings.

Illustration 4-6: Closing Entries Journalized

GENERAL JOURNAL					J3
Date	Account Titles and Explanation	Ref.	Debit	Credit	
	<u>Closing Entries</u>				
2017	(1)				
Oct. 31	Service Revenue	400	10,600		
	Income Summary	350		10,600	
	(To close revenue account)				
	(2)				
31	Income Summary	350	7,740		
	Supplies Expense	631		1,500	
	Depreciation Expense	711		40	
	Insurance Expense	722		50	
	Salaries and Wages Expense	726		5,200	
	Rent Expense	729		900	
	Interest Expense	905		50	
	(To close expense accounts)				
	(3)				
31	Income Summary (10,600 – 7,740)	350	2,860		
	Retained Earnings	320		2,860	
	(To close net income to retained earnings)				
	(4)				
31	Retained Earnings	320	500		
	Dividends	332		500	
	(To close dividends to retained earnings)				

Supplies Expense 631		
1,500	(2)	1,500

Depreciation Expense 711		
40	(2)	40

Insurance Expense 722		
50	(2)	50

Salaries and Wages Expense 726		
4,000	(2)	5,200
1,200		
5,200		5,200

Rent Expense 729		
900	(2)	900

Interest Expense 905		
50	(2)	50

Service Revenue 400		
(1)	10,600	10,000
		400
		200
	10,600	10,600

Income Summary 350		
(2)	7,740	(1) 10,600
(3)	2,860	
	10,600	10,600

Retained Earnings 320		
(4)	500	
		(3) 2,860
		Bal. 2,360

Dividends 332		
500	(4)	500

Posting Closing Entries

Key:

- 1 Close Revenues to Income Summary.
- 2 Close Expenses to Income Summary.
- 3 Close Income Summary to Retained Earnings.
- 4 Close Dividends to Retained Earnings.

Illustration 4-7
Post Closing Entries



DO IT!

The worksheet for **Hancock Company** shows the following in the financial statement columns:

Dividends	€15,000
Share Capital, Ordinary	€42,000
Net income	€18,000

Prepare the closing entries at Dec. 31 that affect equity.

Income Summary	18,000	
Retained Earnings		18,000
Retained Earnings	15,000	
Dividends		15,000

2.10.

Post Closing Trial Balance

Post-Closing Trial Balance

- ◆ Lists **permanent accounts** and their balances after the journalizing and posting of closing entries.
- ◆ Purpose is to prove the **equality** of the permanent account balances carried forward into the next accounting period.
- ◆ Only contains balances for **permanent**—statement of financial position—accounts.
- ◆ All **temporary accounts** will have zero balances.
- ◆ It is prepared from the **permanent accounts** in the ledger.

(Permanent Accounts Only)**Illustration 4-10**

General ledger, permanent accounts

General Ledger

Cash					No. 101
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1	10,000		10,000
2		J1	1,200		11,200
3		J1		900	10,300
4		J1		600	9,700
20		J1		500	9,200
26		J1		4,000	5,200
31		J1	10,000		15,200

Accounts Receivable					No. 112
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	200		200

Supplies					No. 126
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 5		J1	2,500		2,500
31	Adj. entry	J2		1,500	1,000

Prepaid Insurance					No. 130
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 4		J1	600		600
31	Adj. entry	J2		50	550

Equipment					No. 157
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1	5,000		5,000

Accumulated Depreciation—Equipment					No. 158
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2		40	40

Notes Payable					No. 200
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1		5,000	5,000

Accounts Payable					No. 201
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 5		J1		2,500	2,500

Unearned Service Revenue					No. 209
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 2		J1		1,200	1,200
31	Adj. entry	J2	400		800

Salaries and Wages Payable					No. 212
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2		1,200	1,200

Interest Payable					No. 230
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2		50	50

Share Capital—Ordinary					No. 311
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1		J1		10,000	10,000

Retained Earnings					No. 320
Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 1					—0—
31	Closing entry	J3		2,860	2,860
31	Closing entry	J3	500		2,360

Note: The permanent accounts for Pioneer Advertising Agency Inc. are shown here; the temporary accounts are shown in Illustration 4-11. Both permanent and temporary accounts are part of the general ledger; we segregated them here to aid in learning.

Illustration 4-11General ledger, temporary
accounts**(Temporary Accounts Only)****General Ledger****Dividends****No. 332**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 20		J1	500		500
31	Closing entry	J3		500	-0-

Income Summary**No. 350**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Closing entry	J3		10,600	10,600
31	Closing entry	J3	7,740		2,860
31	Closing entry	J3	2,860		-0-

Service Revenue**No. 400**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31		J1		10,000	10,000
31	Adj. entry	J2		400	10,400
31	Adj. entry	J2		200	10,600
31	Closing entry	J3	10,600		-0-

Supplies Expense**No. 631**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	1,500		1,500
31	Closing entry	J3		1,500	-0-

Depreciation Expense**No. 711**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	40		40
31	Closing entry	J3		40	-0-

Insurance Expense**No. 722**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	50		50
31	Closing entry	J3		50	-0-

Salaries and Wages Expense**No. 726**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 26		J1	4,000		4,000
31	Adj. entry	J2	1,200		5,200
31	Closing entry	J3		5,200	-0-

Rent Expense**No. 729**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 3		J1	900		900
31	Closing entry	J3		900	-0-

Interest Expense**No. 905**

Date	Explanation	Ref.	Debit	Credit	Balance
2014					
Oct. 31	Adj. entry	J2	50		50
31	Closing entry	J3		50	-0-

Note: The temporary accounts for Pioneer Advertising Agency Inc. are shown here; Illustration 4-10 shows the permanent accounts. Both permanent and temporary accounts are part of the general ledger; they are segregated here to aid in learning.

Illustration 4-8: Post-Closing Trial Balance

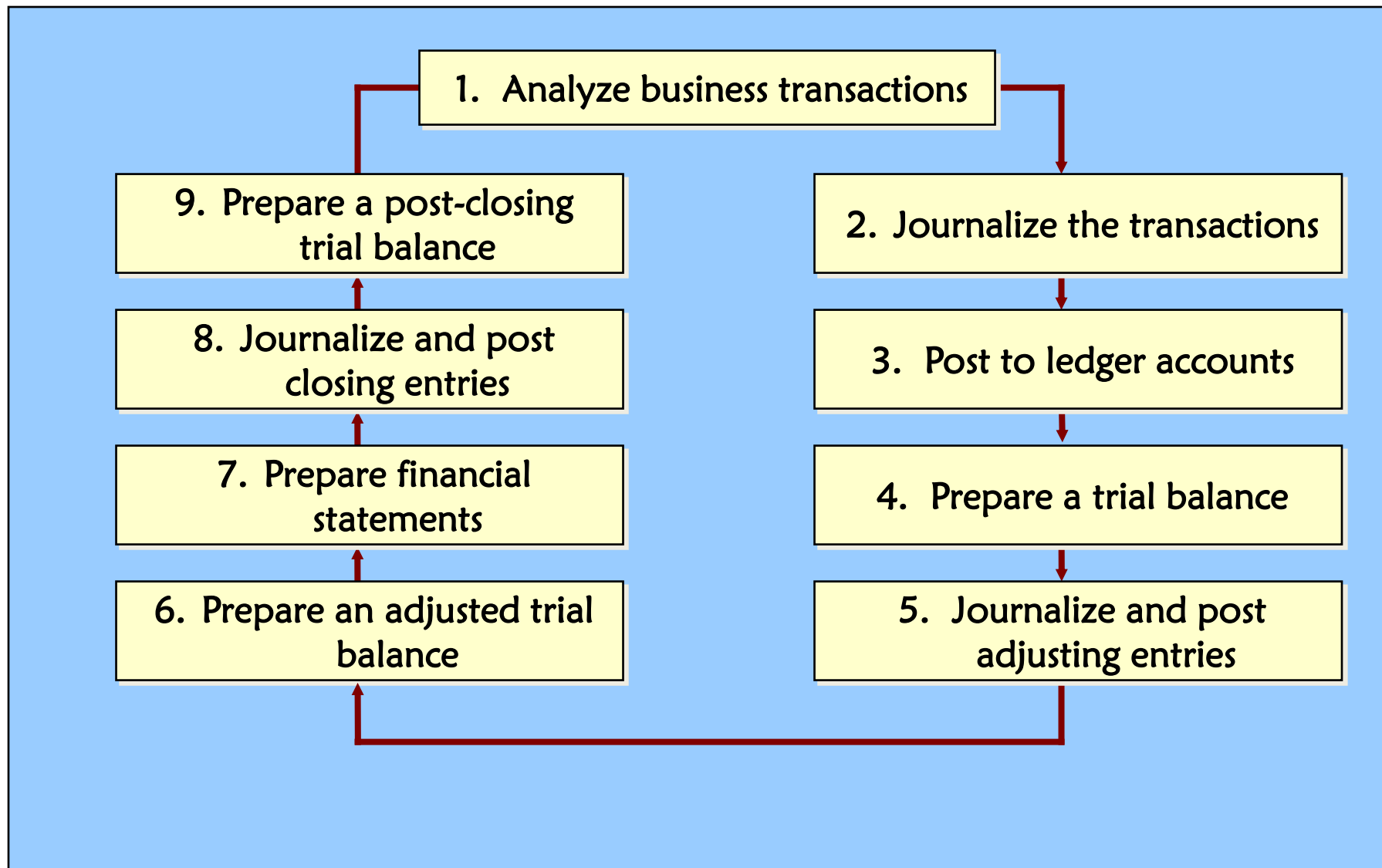
Pioneer Advertising Agency Inc. Post-Closing Trial Balance October 31, 2014

	<u>Debit</u>	<u>Credit</u>
Cash	₺15,200	
Accounts Receivable	200	
Supplies	1,000	
Prepaid Insurance	550	
Equipment	5,000	
Accumulated Depreciation—Equipment		₺ 40
Notes Payable		5,000
Accounts Payable		2,500
Unearned Service Revenue		800
Salaries and Wages Payable		1,200
Interest Payable		50
Share Capital—Ordinary		10,000
Retained Earnings		2,360
	<u>₺21,950</u>	<u>₺21,950</u>

2.11.

Summary of the Accounting Cycle

Illustration 4-11: Steps in the Accounting Cycle



Correcting Entries—An Avoidable Step

- ◆ Unnecessary if accounting records are **free of errors**.
- ◆ Made whenever an error is discovered.
- ◆ Must be posted before closing entries.

Instead of preparing a correcting entry, it is possible to reverse the incorrect entry and then prepare the correct entry.

CASE 1: On May 10, **Mercato Co.** journalized and posted a \$50 cash collection on account from a customer as a debit to Cash \$50 and a credit to Service Revenue \$50. The company discovered the error on May 20, when the customer paid the remaining balance in full.

Incorrect Entry	Cash	50	
	Service Revenue		50
Correct Entry	Cash	50	
	Accounts Receivable		50
Correcting Entry	Service Revenue	50	
	Accounts Receivable		50

CASE 2: On May 18, **Mercato** purchased on account equipment costing \$450. The transaction was journalized and posted as a debit to Equipment \$45 and a credit to Accounts Payable \$45. The error was discovered on June 3.

Incorrect Entry	Equipment	45	
	Accounts Payable		45
Correct Entry	Equipment	450	
	Accounts Payable		450
Correcting Entry	Equipment	405	
	Accounts Payable		405



DO IT!

Sanchez Company discovered the following errors made in January 2014.

1. A payment of Salaries and Wages Expense of \$600 was debited to Supplies and credited to Cash, both for \$600.
2. A collection of \$3,000 from a client on account was debited to Cash \$200 and credited to Service Revenue \$200.
3. The purchase of supplies on account for \$860 was debited to Supplies \$680 and credited to Accounts Payable \$680.

Correct the errors without reversing the incorrect entry.



DO IT!

Solutions

Salaries and Wages Expense	600	
Supplies		600
Service Revenue	200	
Cash	2,800	
Accounts Receivable		3,000
Supplies (\$860 - \$680)	180	
Accounts Payable		180

2.12. Reversing Entries

- ◆ It is often helpful to **reverse** some of the adjusting entries before recording the regular transactions of the next period.
- ◆ Companies make a reversing entry at the **beginning** of the next accounting period.
- ◆ Each reversing entry is the **exact opposite** of the adjusting entry made in the previous period.
- ◆ The use of reversing entries **does not change** the amounts reported in the financial statements.

Reversing Entries Example

Illustration: To illustrate the optional use of reversing entries for accrued expenses, we will use the **salaries expense** transactions for **Pioneer Advertising Inc.**

1. Oct. 26 **(initial salary entry):** Pioneer pays £4,000 of salaries and wages earned between October 15 and Oct. 26.
2. October 31 **(adjusting entry):** Salaries and wages earned between October 29 and October 31 are £1,200. The company will pay these in the November 9 payroll.
3. November 9 **(subsequent salary entry):** Salaries and wages paid are £4,000. Of this amount, £1,200 applied to accrued salaries and wages payable and £2,800 was earned between November 1 and November 9.

Reversing Entries Example

Illustration 4A-1: Comparative Entries

Without Reversing Entries (per chapter)

Initial Salary Entry

Oct. 26	Salaries and Wages Expense	4,000	
	Cash		4,000

Adjusting Entry

Oct. 31	Salaries and Wages Expense	1,200	
	Salaries and Wages Payable		1,200

Closing Entry

Oct. 31	Income Summary	5,200	
	Salaries and Wages Expense		5,200

Reversing Entry

Nov. 1 | No reversing entry is made.

Subsequent Salary Entry

Nov. 9	Salaries and Wages Payable	1,200	
	Salaries and Wages Expense	2,800	
	Cash		4,000

With Reversing Entries (per appendix)

Initial Salary Entry

Oct. 26 **Same entry**

Adjusting Entry

Oct. 31 **Same entry**

Closing Entry

Oct. 31 **Same entry**

Reversing Entry

Nov. 1 **Salaries and Wages Payable 1,200**
 Salaries and Wages Expense 1,200

Subsequent Salary Entry

Nov. 9 **Salaries and Wages Expense 4,000**
 Cash 4,000

Reversing Entries Example

Illustration 4A-2: Posting With Reversing Entries

Salaries and Wages Expense					
10/26	Paid	4,000	10/31	Closing	5,200
	31	Adjusting	1,200		
		5,200			5,200
11/9	Paid	4,000	11/1	Reversing	1,200

Salaries and Wages Payable					
11/1	Reversing	1,200	10/31	Adjusting	1,200

The End of Chapter 2

Thank You!!!